

Like coupons, the concept of company premiums and refunds had been around for a while before I began participating in them in the 1980s. As early as 1851, B. T. Babbitt was offering color lithographs in exchange for their soap wrappers. It wasn't until ten years later that the company substituted coupons for the wrappers. And as mentioned previously in Chapter 3, it was in the 1880s that Adolphus Busch, a beer salesman from St. Louis, rewarded his favorite customers with a pocket knife. The gold knife with a corkscrew attached served as both a useful tool for barkeeps (beer was in corked bottles in the 1880s) as well as a reminder of both the product and the salesperson. In the handle of the pocket knife was a small glass dome with a picture of Adolphus inside. Busch seemed to have an innate understanding of the usefulness of promotions. Besides the knife, he distributed watch fobs, stick pins in the form of the company's A and Eagle trademark, and even playing cards, all in the name of promoting his beer.

According to a December 1971 *New York Times* article by James Nagle, the very first product premium offer might be traced as far back as 1793 when a merchant in Sudbury, New Hampshire gave away copper tokens that were redeemable for merchandise. Another early form of "trading" was implemented by Cyrus D. Jones, who started the Grand Union Tea Company in 1872. He gave out cardboard checks instead of tokens. The cardboard "tickets" could be collected and redeemed for premiums in a catalog.

As for trading stamps as we know them, they are a marketing tool that dates back to the late nineteenth and early twentieth century. According to Jeff R. Lont's three-part series, "The Trading Stamp Story," from Studio Z-